

DANISH/INDIAN FINANCIAL PARTNERSHIP A SUCCESSFUL EXPERIENCE



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India is amongst the single largest investment country for IFU both seen from the perspective of the number of projects that IFU has participated in and the amount of investment committed. By the end of 2007, IFU had participated in 75 Danish projects in India with a total investment of more than DKK 7.30 Billion out of which IFU's committed investment amount has been approx. DKK 700 Million. This makes IFU, not only one of the largest Danish investors in India today, but also a successful instrument in attracting a significantly high FDI from Denmark into India by assisting a large number of Danish companies to establish themselves in the country. The assistance from IFU has been through providing the necessary risk capital, sharing of knowledge and expertise on Indian business conditions and by bringing in its experience gained over almost 20 years from investing in India. This experience often takes the form of advice regarding partner selection, decision on project location, pre-investment negotiations between partners, advice on legal and capital structure of the company, negotiations with local bodies and institutions, advice on corporate social responsibility and good governance, recruitment of management for the company etc.

IMPRESSIVE PORTFOLIO

IFU's portfolio in India is spread over different industrial sectors like Infrastructure, IT, Food processing, Machinery manufacturing, Cement, Textiles, Biotechnology etc; and is present in different geographical areas of the country. These projects vary in size and represent a broad section of the Danish Industry. IFU's partners in India also vary in size and include among others some familiar names like A.P. Møller, Carlsberg, F.L. Smidth, Grundfos, Vestas as well as a number of small and medium sized companies. IFU may choose to take a representation in the Board of the project companies it participates in. IFU's nominee of the Board often advises the management and partners on how to ensure statutory compliance and effective management reporting and conduct board meetings in a professional way. In many cases, especially in cases of joint ventures, IFU assists by acting as a bridge between the two different cultures and thereby helping in handling potential conflict situations. IFU is seen as a neutral party by its partners, many times taking the position of a mediator resolving issues in an amicable way.

ENERGY PROJECTS INVESTMENTS EXPECTED TO GROW

The visit from the Danish Prime Minister is focusing on the IT and Biotechnology sectors. Both Denmark and India have very strong capabilities in these sectors presenting interesting opportunities for mutual collaboration. During the same week as the visit by the Danish PM to India, there is also a visit from the Danish Minister for Climate and Energy. This is one sector where clearly Denmark stands out as one of the leading players on the global basis and something that India

The Danish international investment fund, IFU, made its first investment in India in 1984. The momentum really picked up in 1991 as the foreign investment climate in India started getting liberalized and it became easier for foreign companies to invest in the country. From the 1991 until 1999, IFU invested in 42 projects in India with a total investment from IFU of more than DKK 200 Million.

needs to urgently acquire more know how on. These visits are expected to lead to a greater interest amongst the Danish and Indian companies for mutual competencies. As more investments will be made from Denmark into India in these sectors, IFU expects to participate in these too as a valuable partner.

FACTS ABOUT IFU

IFU, the Industrialization Fund for Developing Countries, is a self governing investment fund established in 1967 by the Government of Denmark by a special Act of Parliament to promote economic activity in developing countries in collaboration with Danish Industry.

IFU has a well established office in India since 1997 based in New Delhi which consists of a strong team of professionals. In addition to their own office, IFU has a network of advisors across the country consisting of distinguished experts in different fields who add significant strength to IFU's presence in India.

FLSMIDTH

Danish based FLSmidth & Co. A/S is the global cement industry's leading supplier of process know-how, engineering and complete plants. The turnover of the Group is around 2.5 billion Euros and the total employee strength of around 9000. FLSmidth celebrated its 125th anniversary in 2007.

FLSmidth Private Limited

FLSmidth Private Limited, in Chennai is a Project Center of FLSmidth Group, in line with our sisters in Denmark and USA. It also has offices in the principal cities of India like Delhi, Mumbai and Hyderabad. FLSmidth has access to the latest state of the art energy efficient and environment friendly technology of cement plant systems, control automation and bulk material handling equipment, which it sells in India and neighboring countries like Bangladesh, Nepal, Bhutan and Sri Lanka. Its capabilities include all aspects of project execution, engineering, procurement, field services — erection and commissioning, after sales services and training and working environment equipped with the most modern information technology facilities. FLSmidth has a market share of around 50% of the installed cement capacity in India. FLSmidth's activities in India, now comprises of the following companies with a total workforce of more than 2200. FLSmidth Private Limited ; FLSmidth Minerals Pvt Ltd; FLSmidth Infotech Pvt Ltd ; Bhagwati Designs Pvt Ltd